

ESG Screening Criteria Update and Excluded Securities Review

Date: July 15, 2024 | Ref: ESG-2024-SCR-002

Scope: All Sun Life Capital managed portfolios

Effective Date: August 1, 2024

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Overview

This memorandum documents updates to the ESG screening criteria applied across Sun Life Capital managed portfolios, effective August 1, 2024. The updates reflect: (1) expansion of the exclusion list based on new controversies identified through the MSCI ESG Controversy Score quarterly review; (2) addition of a new positive screening criterion for companies demonstrating leadership in net-zero transition planning; and (3) alignment with the updated UN Global Compact principles.

Exclusion List Updates

The following securities have been added to the exclusion list and must be divested by September 30, 2024:

- Thermal Coal Producers: Any company deriving >25% of revenue from thermal coal extraction (updated from >30%). This triggers exclusion of 2 additional securities not previously screened.
- Unconventional Weapons: Maintaining existing exclusion. No new additions.
- Severe Human Rights Violations: Two securities added following MSCI ESG Controversy Score downgrade to 'Red' level based on supply chain labour practice violations.
- Tobacco: Maintaining existing exclusion (companies deriving >5% of revenue from tobacco products).

No securities have been removed from the exclusion list in this review cycle.

Positive Screening Additions

Effective August 1, 2024, portfolios will target a minimum 15% allocation (of equity exposure) to companies classified as 'Climate Leaders' - defined as companies with: (1) a validated Science-Based Targets Initiative (SBTi) net-zero commitment; (2) emissions intensity below the sector average; and (3) MSCI ESG Rating of AA or AAA. Current portfolio compliance: 11.2%. Action required to increase allocation by approximately \$180M.

Canadian Portfolio Impact

Current Sun Life Capital equity portfolios hold no securities on the exclusion list. The thermal coal threshold change does not affect any current holding as Canadian equity exposure is primarily in financials, energy (oil and gas, not coal), and industrials. The largest ESG risk in the current portfolio is the oil sands exposure through Suncor (SU) and Canadian Natural Resources (CNQ) - both companies have committed to net-zero by 2050 and have SBTi-aligned interim targets.

Reporting and Monitoring

ESG compliance will be reported quarterly in the Portfolio Risk Report. ESG screening is performed monthly using data from MSCI ESG Research, Sustainalytics, and Bloomberg ESG scores. Any new addition to the exclusion list will trigger a 60-day divestment window to allow orderly liquidation. An annual responsible investment report will be published for clients by March 31 each year.